DISINTERMEDIATION: A LATENT PROBLEM

It's 2022 January and you are the business head of the Salon business at Urban Company. UC has been a phenomenal success within the salon industry and over the past 7+ years has serviced over 5 million customers and continues to enjoy deep customer love for their at-home service. Apart from this, they have 13,000+ women partners who work with UC and have been able to create their livelihoods because of UC.

One thing as a business head which you hear from a lot of customers and from a lot of UC target segments in general is the word 'disintermediation'. Disintermediation in a marketplace is when a customer and a partner complete the service outside the platform. Disintermediation can be of 2 types: service booked on the platform and then cancelled by the customer but still fulfilled by a partner or no booking on the platform i.e. customer calls the partner directly and the partner delivers the service. This means even though UC spends on training these partners and acquiring the customer but gets 0 returns for this transaction.

This has a significant impact on the lifetime value of the customer for UC. After getting this qualitative feedback and also being asked this question from a lot of people around you, it seems this is a bigger problem than what you had originally expected. As a business head, you need to answer the below questions:

- *How can you quantify the above problem? What are the basic approach/heuristics you would have to carry out to assess what is the revenue / deliveries UC ends up losing because of disintermediation?*
- *What could be the potential solutions across both partners as well as the customer side to solve this problem?*
- *How would you operationalize the one solution which you consider to be a top solution / silver bullet?*

Below are some of the exhibits around both quantitative and qualitative feedback from customers and partners. Feel free to go through the app, and do your own independent research outside of this to come up with the relevant problems and potential solutions.

Exhibit 1 : Economics of a job and some commentary on partner base

- The average AOV of a Salon job is ~1200 and UC takes 20% commission on the job
- On average a partner active for a full month does 40-50 jobs. Some partners even do 60-70 jobs a month
- A certain % of the partner base is not available for certain days of the month

and wants high flexibility in terms of availability and is happy to do fewer jobs or only certain types of jobs on the platform (e.g. of flexibility - don't want to do pedicures, or don't want to work on weekends or only want to work 10-15 days a month etc.)
- To ensure quality of delivery, partners need to follow UC-defined SOP and have to purchase products from the UC online store. Product cost on a typical job can range from Rs. 150-200
- 40-50% of the demand of a week comes only on weekends
- A salon professional working in the offline market makes 15-25K a month basis experience and has to work for min 8 hours and 6 days a week

Exhibit 2: Customer journey (Note: please go through the UC app and Salon for Women category as well)

- Customers after coming on the app can select from the type of salon (classic, prime, luxe) basis different price points. For ease of this case only consider Prime
- UC Salon has a host of services: Facials, Mani-Pedi, Threading, Waxing etc
- Within each or at an overall level a customer can select different services and the same partner is trained to provide all services and is also given the right kit, products and tools to provide these services
- After the customer selects the relevant service: existing customers (who have already used the service before) have an option to select either a partner from whom they have taken a service before or a completely new professional
- Basis the option they select, they are shown the relevant/available time slots for that particular professional
- The availability of the partner (or time slots available) whether the partner is: on leave or not, has another booking or not
- If the required slot or partner or combination of both is not available to a customer that is counted as request loss. Most of this loss typically happens on weekends which have 40-45% of the demand for the week
- Post selection of the date + slot, payment is made and service is booked
- Of the services booked, 85-88% are delivered and the remaining are cancelled (plan changed by customer, no show by partner)
- Partner after reaching the customer's house takes an OTP from the customer to start the job and during the job, there are certain checks in place to ensure delivery quality is met: selfie check to ensure the same partner went, product check to ensure the right products are being used and SOP led photo checks
- After the job is completed, the partner ends the job on their app and the customer gets a feedback form where they mark a rating for the service provided by the partner

Exhibit 3: Qualitative feedback from partners

- "UC has changed my life, I earn more than 40K a month and have created a set of loyal customers in my area who only book me"
- "I used to earn INR 15,000 when I worked in a Salon and that too almost 7

days a week but now with UC I can plan my calendar and end up earning 2 times by working half of what I used to do earlier”
- “UC training on the actual job and customer orientation allowed me to become a strong professional and I’m loved by my customers, they treat me very well”
- “Don’t want to work a lot on weekends as that is the only day I have with my children”
- “I have a fear that my existing customers would be given to new partners. I provided a great first service but next time the customer booked someone else”
- “UC has a very high commission and I don't buy products from UC”
- “There are so many blocks and terms and conditions put in place by UC, I’m not sure how long I’ll work here, want to create a customer base for myself”
- “After I have provided a great service to a new customer, why does that customer go to some other partner”
- “UC has no value add for my repeat customers, why should I pay commission on repeat bookings”

Exhibit 4: Qualitative feedback from different customers

- “I like your pro Sunita and she has been servicing me for the past 1 year. She understands my skin type and provides me relevant suggestions for facials”
- “In case my preferred partner is not available I try to connect with that partner by calling them and asking them to come at my preferred time”
- “I’m not able to find slots for my preferred partners on weekends. It's so irritating as I have a small child and that is the only time I get”
- “Not sure why but after the service is completed, partners always give their personal number and ask me to call them directly. I still prefer going through the app as I have someone to fall back on if things go south”
- “Going through the app to select the same service I require is so tedious and you never know if the professional you like would be available or not”
- “UC is expensive compared to my local salon, I only use UC when I’m time-pressed and require something urgently or my local salon lady is not available”
- “UC has simplified my life. My office hours are odd and long and whenever I want a service I can go on UC to book and all partners who come are trained and professional”
- “I don’t mind paying extra but want to ensure I get the partner I like or top-rated partner”
- “I only used UC once and then moved to my local Salon lady as I find it more convenient”